

REPUBLIC OF KOREA 2002

1. Overview of the system

Unemployed persons are covered by an unemployment insurance to which employers and employees contribute. As a last-resort benefit, social assistance is also provided under the National Basic Livelihood Security (NBLS) System which guarantees basic livelihood and supports self-reliance for all those with incomes below the minimum cost of living, the official poverty line, regardless of their working ability.

The national currency is the Won (KRW). In 2002, the average worker (broadened new definition) is expected to earn KRW 23 097 663¹.

All net incomes, replacement rates and other figures in this report are based on the Korean tax and benefit system in effect as of 1 July 2002.

2. Unemployment insurance

There are two kinds of unemployment benefits. Only the Job-Seeking Allowance is contemplated in the calculations used in this study:

- *Job- Seeking Allowance*: provides cash payments to maintain the worker's standard of living and to facilitate their re-employment.
- *Employment Promotion Allowance*, split into:
 - Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job, for those who get a steady job earlier than halfway the given benefit duration; it amounts to a half of the residual days of Basic Allowance.
 - Job Abilities Development Allowance is paid to those who take training from vocational training institutes under the direction of the local labour offices.
 - Wide-area Jobseeking Allowance is paid to those who are seeking jobs 50 km away from their residence referred by the Employment Security Office.
 - Moving expenses are paid to those who move to another place to take jobs or training mandated by the Employment Security Office.

1. AW refers to the Average Worker estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

2.1 Conditions for receipt

Voluntarily unemployed people are disqualified.

2.1.1 Employment conditions

See the contribution conditions (section 2.1.2).

2.1.2 Contribution conditions

Having worked at least 6 months in the 18-month period preceding unemployment (see section 13 below).

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The daily basic allowance is 50 per cent of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The minimum benefit is 90 per cent of the minimum wage; the maximum monthly benefit is KRW 1.05 million. The daily minimum wage is KRW 18 200 (see section 13 below).

2.2.2 Income and earnings disregards

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to employment office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds 60 per cent of the (daily) job-seeking allowance, such excess will be deducted from the (daily) job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the Employment Insurance System (EIS). The same applies if the beneficiary works 80 hours or more per month.

2.3 Tax treatment of benefit

Unemployment benefits are not taxed, in accordance with Article 12 of the Income Tax Law.

2.4 Benefit duration

The maximum duration of payment of unemployment benefits ranges between three and eight months, depending on the age of the recipient at the time of job loss and the period of contribution to the EIS. It is shown below in days of benefit:

Age (years)	Periods of contribution to the EIS (days)				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the	90	150	180	210	240

disabled

There is a two-week waiting period. (7 days per week, 30 days per month, 365 days per year.)

2.5 *Treatment of particular groups*

Disabled persons, regardless of their age, are entitled to the same number of days of benefits as those over 50 years of age.

3. **Unemployment assistance**

None.

4. **Social assistance**

For the past forty years, the Korean government has provided limited protection mainly for those who are unable to work due to age or disabilities under the previous Livelihood Protection System. However, the Korean financial crisis in 1997 and following structural reforms caused rapid increase in the number of the poor and unemployed, which required urgent expansion of the social safety net. To face this situation in a fundamental way, the government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000.

The new system has changed the paradigm of policies to fight poverty. The system emphasises social responsibility for poverty and has strengthened the right of the people in the low-income bracket to receive public assistance. All the people who live under the poverty line are provided financial benefit regardless of their working ability.

At the same time, the system provides well-organised self-support services so that recipients who are able to work can free themselves from poverty. The government provides self-support programmes for those in the lower-income bracket who are considered and judged to have a degree of ability to work.

4.1 *Conditions for receipt*

Benefits for the NBLS are subject to means test based on both household income and its property value. In addition, there is another eligibility criteria of “lack of supporters”.

2002 income and property criteria

Size of household (persons)	1	2	3	4	5	6
Evaluated amount of income (thousand KRW)	350	570	790	990	1 130	1 270
Property value (million KRW)	33	33	36	36	40	40

Firstly, eligibility criteria for income and property are annually determined by the Ministry of Health and Welfare. In order to qualify as a recipient, the amount of his/her income and property value should be below the level as shown in the table. As a complementary measure for the property criteria, those who have their own house of more than 50m² or live in a rented house of more than 66m² or who have a farm land larger than the Province average are not eligible. In addition, those who have their own

cars (except both below 2 000 cc for disabled persons and below 1 500 cc for business use) are not eligible. Along with these criteria, the government introduced several exceptions and special measures to minimise blind spots where the needy are excluded from the NBS benefits due to strict application of criteria. The assistance agency can include as recipients those who do not meet those criteria but are judged to have high needs to be protected in consideration of their peculiar situation or actual living status.

Secondly, those who live with person/persons responsible for supporting them (hereafter, “legal supporter”) are not eligible as recipients. More concretely, eligibility is given only to those with neither spouse nor lineal relatives by blood nor brothers/sisters, who are not only liable but also able to support them. Obligation as a “legal supporter” is exempted in some cases such as his/her property value is less than 120 per cent of the total of both his/her and the applicant/recipient’s property value. The assistance agency, however, can provide assistance benefit in advance for those whose “legal supporters” refuse to support, and afterwards make those “legal supporters” pay the cost.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Assistance is given in the form of the total of five benefits such as cost of living, housing, medical care, educational, and self-support benefits. The NBS Act stipulates that the recipient’s total household income should exceed the minimum cost of living (MCL), which is set to guarantee the minimum for healthy and civilized living. If the recipient receives any supports under other programmes as well, they are deducted from the total amount of assistance under the NBS system. Actually, the total amount of assistance under the NBS system equals the balance of the minimum cost of living and the recognized income of the household including other supports under different programmes.

Monthly cash benefit¹ (cost of living and housing cost) levels per household, under the NBS in 2002

Grade	Level of evaluated household income (in 10 000 KRW)	Monthly benefit (in thousand KRW)					
		1 person	2 persons	3 persons	4 persons	5 persons	6 persons
127	126 ~ 127						53
126	125 ~ 126						53
125	124 ~ 125						53
124	123 ~ 124						53
123	122 ~ 123						53
122	121 ~ 122						53
121	120 ~ 121						53
120	119 ~ 120						53
119	118 ~ 119						53
118	117 ~ 118						66
117	116 ~ 117						66
116	115 ~ 116						71
115	114 ~ 115						71
114	113 ~ 114						76

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
Country chapter - Benefits and Wages (www.oecd.org/els/social/workincentives)

113	112 ~ 113					53	76
112	111 ~ 112					53	81
111	110 ~ 111					53	81
110	109 ~ 110					53	86
109	108 ~ 109					53	86
108	107 ~ 108					53	91
107	106 ~ 107					53	91
106	105 ~ 106					66	96
105	104 ~ 105					66	96
104	103 ~ 104					71	101
103	102 ~ 103					71	101
102	101 ~ 102					76	108
101	100 ~ 101					76	118
100	99 ~ 100					81	128
99	98 ~ 99				40	81	138
98	97 ~ 98				40	86	148
97	96 ~ 97				40	86	158
96	95 ~ 96				40	91	168
95	94 ~ 95				40	91	178
94	93 ~ 94				40	96	188
93	92 ~ 93				40	96	198
92	91 ~ 92				52	101	208
91	90 ~ 91				52	101	218
90	89 ~ 90				57	106	228
89	88 ~ 89				57	111	238
88	87 ~ 88				62	121	248
87	86 ~ 87				62	131	258
86	85 ~ 86				67	141	268
85	84 ~ 85				67	151	278
84	83 ~ 84				72	161	288
83	82 ~ 83				72	171	298
82	81 ~ 82				77	181	308
81	80 ~ 81				77	191	318
80	79 ~ 80				81	201	328
79	78 ~ 79			40	91	211	338
78	77 ~ 78			40	101	221	348
77	76 ~ 77			40	111	231	358
76	75 ~ 76			40	121	241	368
75	74 ~ 75			40	131	251	378
74	73 ~ 74			40	141	261	388

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
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73	72 ~ 73			40	151	271	398
72	71 ~ 72			52	161	281	408
71	70 ~ 71			52	171	291	418
70	69 ~ 70			57	181	301	428
69	68 ~ 69			57	191	311	438
68	67 ~ 68			62	201	321	448
67	66 ~ 67			62	211	331	458
66	65 ~ 66			67	221	341	468
65	64 ~ 65			67	231	351	478
64	63 ~ 64			72	241	361	488
63	62 ~ 63			73	251	371	498
62	61 ~ 62			83	261	381	508
61	60 ~ 61			93	271	391	518
60	59 ~ 60			103	281	401	528
59	58 ~ 59			113	291	411	538
58	57 ~ 58			123	301	421	548
57	56 ~ 57		28	133	311	431	558
56	55 ~ 56		28	143	321	441	568
55	54 ~ 55		28	153	331	451	578
54	53 ~ 54		28	163	341	461	588
53	52 ~ 53		28	173	351	471	598
52	51 ~ 52		38	183	361	481	608
51	50 ~ 51		38	193	371	491	618
50	49 ~ 50		43	203	381	501	628
49	48 ~ 49		43	213	391	511	638
48	47 ~ 48		48	223	401	521	648
47	46 ~ 47		48	233	411	531	658
46	45 ~ 46		54	243	421	541	668
45	44 ~ 45		64	253	431	551	678
44	43 ~ 44		74	263	441	561	688
43	42 ~ 43		84	273	451	571	698
42	41 ~ 42		94	283	461	581	708
41	40 ~ 41		104	293	471	591	718
40	39 ~ 40		114	303	481	601	728
39	38 ~ 39		124	313	491	611	738
38	37 ~ 38		134	323	501	621	748
37	36 ~ 37		144	333	511	631	758
36	35 ~ 36		154	343	521	641	768
35	34 ~ 35	28	164	353	531	651	778
34	33 ~ 34	28	174	363	541	661	788

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
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33	32 ~ 33	28	184	373	551	671	798
32	31 ~ 32	28	194	383	561	681	808
31	30 ~ 31	28	204	393	571	691	818
30	29 ~ 30	38	214	403	581	701	828
29	28 ~ 29	38	224	413	591	711	838
28	27 ~ 28	44	234	423	601	721	848
27	26 ~ 27	44	244	433	611	731	858
26	25 ~ 26	54	254	443	621	741	868
25	24 ~ 25	64	264	453	631	751	878
24	23 ~ 24	74	274	463	641	761	888
23	22 ~ 23	84	284	473	651	771	898
22	21 ~ 22	94	294	483	661	781	908
21	20 ~ 21	104	304	493	671	791	918
20	19 ~ 20	114	314	503	681	801	928
19	18 ~ 19	124	324	513	691	811	938
18	17 ~ 18	134	334	523	701	821	948
17	16 ~ 17	144	344	533	711	831	958
16	15 ~ 16	154	354	543	721	841	968
15	14 ~ 15	164	364	553	731	851	978
14	13 ~ 14	174	374	563	741	861	988
13	12 ~ 13	184	384	573	751	871	998
12	11 ~ 12	194	394	583	761	881	1 008
11	10 ~ 11	204	404	593	771	891	1 018
10	9 ~ 10	214	414	603	781	901	1 028
9	8 ~ 9	224	424	613	791	911	1 038
8	7 ~ 8	234	434	623	801	921	1 048
7	6 ~ 7	244	444	633	811	931	1 058
6	5 ~ 6	254	454	643	821	941	1 068
5	4 ~ 5	264	464	653	831	951	1 078
4	3 ~ 4	274	474	663	841	961	1 088
3	2 ~ 3	284	484	673	851	971	1 098
2	1 ~ 2	294	494	683	861	981	1 108
1	0 ~ 1	304	504	693	871	991	1 118

1. In-kind benefits such as medical and educational aid, etc. are provided in case those benefits are needed by the beneficiaries.

4.2.2 *Income and earnings disregards*

15 per cent of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students and all recipients taking part in the Self-support labor program are

disregarded from the earned income which would otherwise be deducted from the total amount of assistance.

4.3 Tax treatment of benefit

Not taxable.

4.4 Benefit duration

Benefits continue until he/she loses his/her qualification as a recipient.

4.5 Treatment of particular groups

4.5.1 Old age pension

Old age pension of KRW 45 000 is paid monthly to those aged over 65 (KRW 50 000 for those aged over 80).

4.5.2 Disability allowance

Disability allowance of KRW 50 000 is paid monthly to those with first, second and third (mental disability or autism) degree disability who suffer from additional forms of other disability.

5. Housing benefits

Housing assistance was newly introduced in the NBLSS to support residential stability in consideration of the fact that housing expenditure takes up a considerable part of living expenses, especially in the low-income class. It is provided in cash covering housing rent and the maintenance/repair expenses. In-kind benefits in the form of maintenance/repair services can be provided from 2001, when it is judged to be necessary by the assistance agency.

Monthly housing benefit levels per household, under the NBLSS in 2002

Size of household (persons)	1 - 2	3 - 4	5 - 6
Housing assistance (thousand KRW)	28	40	53

6. Family benefits

Undefined.

7. Child-care benefits

The Livelihood Protection beneficiaries with children are eligible to the subsidies for child educare center fees as follows:

- Household with children below 5 years old; KRW 125 – 243 thousand a month.

- Household with children of 5 years old; KRW 125 thousand a month.

8. Employment-conditional benefits

Self-support services for the people in the low-income bracket with working abilities are newly introduced in the NBLSS to embody the concept of Productive Welfare. Productive Welfare aims not only to prevent them from falling into deepening poverty, but also to make them support themselves on their own by providing proper self-support programmes.

Self-support programmes are aims to enable the recipients with work ability to support themselves by providing proper Self-support services according to their desire and ability to work. It takes a step-by-step development strategy to gradually enhance self-supporting desire and ability of the people participating in the program. At the initial stage, rehabilitation programmes or local social activities are provided to encourage the will for self-support. Then, in order to strengthen self-supporting abilities, the recipients take the self-support labor programs such as free nursing service and house repairing business. Also, the government supports the recipients by providing job training or supports business start-ups by establishing communities to ensure self-support. At the last stage, the recipients can support themselves by participating in the labour market as workers or by starting small businesses.

Year 2002 was the second year for self-support assistances, and the government mainly focused on establishing the infrastructure for efficient provision of services. It supported establishment of the Self-support Guardian Institutes, which has been increased to 192 in December 2002 from 70 in 2000. As a result of these efforts, Self-support services have been provided to 45 000 persons in 2002. As many as 5 000 persons out of this total succeeded in self-support as of December 2002, while 7 000 persons have been disqualified as recipients on account of their failure to take part in self- support programmes.

9. Lone-parent benefits

Lone-parents with property and income below the levels shown in the table are eligible to the benefits below:

- Child raising support subsidy; KRW 17 000 a month and school fees of middle and high schools.
- Low-interest livelihood support loan; maximum KRW 12 million.
- Long-term low rental housing arrangement service.

Minimum property and income thresholds for lone-parent families vary depending on the number of family members (in million KRW):

Number of family members	2	3	4	5	6
Property		50		55	60
Monthly Income	0.8	1.06	1.24	1.38	1.5

To become eligible for the lone-parent benefits, both property and income requirement should be met.

10. Tax system

10.1 Personal income tax system

10.1.1 Tax unit

Principle: Each individual is taxed for his/her own income.

10.1.2 Allowances and tax credits

10.1.2.1 Standard reliefs

The standard reliefs are taken as deductions from the gross income.

Employment Income Deduction: the following deduction from gross income is allowed for wage and salary income earners:

Salary (million KRW)	Deduction
Up to 5	Total amount
5 – 15	KRW 5 million plus 45% of the salary over KRW 5 million
15 – 30	KRW 9.5 million plus 15% of the salary over KRW 15 million
30 – 45	KRW 11.75 million plus 10% of the salary over KRW 30 million
Over 45	KRW 13.25 million plus 5% of the salary over KRW 45 million

Basic allowance: a taxpayer can deduct KRW 1 million per person who meets one of following conditions:

- Taxpayer him/herself.
- Taxpayer's spouse whose taxable income is less than KRW 1 million.
- Taxpayer's (including the spouse's) dependents (parents, siblings, children) within the same household whose taxable income is under KRW 1 million and whose ages are as follows:
 - Parents: aged 60 years (female: aged 55 years) or over.
 - Brother/sister: aged 60 years (female: aged 55 years) or over, or aged 20 years or under.
 - Children: aged 20 years or under.

Additional allowance: a taxpayer can deduct KRW 1 million or KRW 0.5 million from his/her gross income when the taxpayer or his/her dependents fall into the following categories (a) and (b) or (c) and (d) respectively:

- a) A person aged 65 years or over.
- b) A person prescribed by a Presidential Decree.
- c) A female wage earner who is the head of a household or a female wage earner with spouse.

- d) A child under 6 years of age (permitted only for a female wage earner or a male wage earner without a spouse).

Extra allowance:

- A single income earner without a spouse or any other dependents may deduct KRW 1 million from gross income.
- A single income earner with a dependent (e.g. spouse, child) may deduct KRW 0.5 million from gross income.
- A single parent with a child under 7 years of age may deduct KRW 0.5 million from gross income.

Tax credits: for wage and salary income earners, the following tax credit is allowed as follows:

Calculated tax	Amount of tax credit
Up to KRW 500 000	45% of the calculated tax
Over KRW 500 000	KRW 225 000 plus 30% of the calculated tax over KRW 400 000 (limit: KRW 400 000)

10.1.2.2 Main non-standard tax reliefs

Wage and salary income earners may deduct from gross income the expenses for several items paid during the tax year such as insurance premiums, medical expenses, educational expenses, saving/payments for housing, charities and credit card purchases (all of them up to specific limits). The calculations consider only the lump-sum tax relief.

Lump-sum tax relief: any taxpayer whose total deductible expense for the categories mentioned above is not over KRW 600 000 may deduct KRW 600 000 from their gross income as a lump-sum tax relief. This is assumed to be the case for the taxpayer in this report.

10.1.2 Tax schedule

Over (in million KRW)	Not more than (in million KRW)	Marginal tax rate (%)
0	10	9
10	40	18
40	80	27
80		36

10.2 Local income tax

10.2.1 Tax base

The local income tax base is the income tax paid to the central government.

10.2.2 *Tax rate*

A uniform rate of 10 per cent is applied. However, the local government can adjust the rate between the lower limit of 5 per cent and upper limit of 15 per cent.

10.2.3 *Tax rate (selected for this study)*

A country-wide rate of 10 per cent.

11. Employees' social security contributions to schemes operated within the government sector

11.1 *National pension*

4.5 per cent of standard income.

11.2 *Medical insurance*

1.7 per cent of standard income.

11.3 *Unemployment insurance*

0.5 per cent of gross income.

11.4 *Work injury insurance*

None.

12. Policy developments

12.1 *Policy changes introduced during the last year*

Social welfare expenditure has increased significantly over the past few years, which has resulted in increased social assistance benefits for families in financial need. Among other policy changes, the Korean authorities have enacted a new social assistance system in September 1999, the 'National Basic Livelihood Security Law', in effect as of 1 October 2000. The concept underlying this new law is that of 'productive welfare', i.e. the purpose is to provide adequate income support while encouraging benefit recipients to participate in the labour market [see OECD (2000), *Pushing Ahead with Reform in Korea: Labour Market and Social Safety Net Policies*, for detailed up-to-date information on these changes].

Changes in unemployment insurance during year 2002:

- The contribution conditions have been modified, reducing the minimum requirement to 180 days in the 18 months preceding unemployment.
- The minimum benefit is 90 per cent of the minimum wage.
- The daily minimum wage is KRW 18 200 as of 1 September 2002.
- The following table concerning benefit duration applies from 1 January 2002:

Age (years)	Periods of contribution to the EIS (days)				
	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the disabled	90	150	180	210	240

There is a two-week waiting period. (7 days per week, 30 days per month, 365 days per year.)

12.2 *Policy changes announced*